

Hearing Date: 6/4/2024 10:00 AM
Location: Richard J Daley Center
Judge: Wilson, Thaddeus L

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2/5/2024 1:11 PM
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EXHIBIT 3

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June 28, 2023

Via E-Mail

Thomas J. Nitschke
Blaise & Nitschke P.C.
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Re: *Rowboat Creative LLC – Buyout Offer from Lucas Guariglia to Joseph Zangrilli*

Dear Counsel:

On behalf of Lucas Guariglia, below are the terms of Mr. Guariglia's offer to purchase Joseph Zangrilli's interest in Rowboat Creative LLC ("Rowboat"). The total value of this offer is \$353,775.61, comprising \$159,020.68 in cash payments and \$194,754.93 in debt relief.

Year 1

1. Mr. Guariglia will assume all the Rowboat debt for which Mr. Zangrilli currently is a co-guarantor (i.e., \$194,754.93). This term is contingent on approval by Rowboat's landlord, commercial lender, and vendors.
2. Mr. Guariglia will pay Mr. Zangrilli a lump sum of \$50,000, to be deposited into Mr. Zangrilli's bank account within forty-eight hours of executing the paperwork necessary to finalize the buyout (the "Closing Date").
3. Mr. Guariglia will pay Mr. Zangrilli a sum of \$2,000 per month for a period of twelve months following the Closing Date.
4. Mr. Guariglia will pay Mr. Zangrilli a health-insurance stipend of \$612.26 per month for a period of twelve months following the Closing Date.

In sum, Mr. Guariglia's total payments to Mr. Zangrilli during the first twelve months following the Closing Date will be \$81,347.12, comprising a \$50,000 lump sum and monthly payments of \$2,612.26, and Mr. Guariglia will assume Mr. Zangrilli's business debt of \$194,754.93, subject to approval by Rowboat's obligees.

For settlement purposes only
Inadmissible as evidence

Year 2

5. Mr. Guariglia will pay Mr. Zangrilli a lump sum of \$50,000, to be deposited into Mr. Zangrilli's bank account on the first day of the second twelve-month period following the Closing Date.
6. Mr. Guariglia will pay Mr. Zangrilli a sum of \$2,000 per month for the second twelve-month period following the Closing Date.
7. Mr. Guariglia will pay Mr. Zangrilli a health-insurance stipend of \$306.13 per month for the second twelve-month period following the Closing Date.

In sum, Mr. Guariglia's total payments to Mr. Zangrilli during the second twelve months following the Closing Date will be \$77,673.56, comprising a \$50,000 lump sum and monthly payments of \$2,306.13.

Other Terms

Mr. Guariglia's consent to the terms set forth above is expressly contingent on Mr. Zangrilli's consent to the following terms:

8. Mr. Zangrilli will not compete with Rowboat, either directly or indirectly, for a period of four years following the Closing Date.
9. Mr. Zangrilli will not solicit any of Rowboat's former, current, or prospective clients, either directly or indirectly, for a period of four years following the Closing Date.
10. Mr. Zangrilli will not solicit any of Rowboat's employees, including any employees employed by Rowboat at any time during the twelve-month period preceding the Closing Date and any employees employed by Rowboat at any time during the nonsolicitation period, either directly or indirectly, for a period of four years following the Closing Date.
11. Mr. Zangrilli will return to Mr. Guariglia any of Rowboat's confidential information in Mr. Zangrilli's possession, custody, or control, including but not limited to any electronically stored information, within seven days of the Closing Date.
12. Mr. Zangrilli will not use any of Rowboat's confidential information following the Closing Date.

13. Mr. Zangrilli will make himself reasonably available to consult with Mr. Guariglia during the first twelve months following the Closing Date to provide information Mr. Guariglia needs to run the business that is not disclosed before the Closing Date, such as, for example, login information related to any of Rowboat's accounts or databases.

The terms of this offer expire on July 5, 2023.

Additional Considerations

If Mr. Zangrilli is not open to having his interest in the company bought out, Mr. Guariglia is open to Mr. Zangrilli buying out Mr. Guariglia's interest and would be willing to consider buyout terms proposed by Mr. Zangrilli.

If Mr. Zangrilli and Mr. Guariglia are unable to reach an agreement regarding a buyout, proceeding with the company's dissolution is not Mr. Guariglia's first choice, but the parties need to reach a realistic agreement on how the company will continue to function.

Additionally, Mr. Zangrilli continues to accuse Mr. Guariglia of various types of wrongdoing in connection with Rowboat, including but not limited to "price-fixing" and misusing company funds to pay for personal expenses. Mr. Guariglia not only categorically denies any wrongdoing, but also does not even understand the basis for Mr. Zangrilli's allegations. In addition to responding to the offer set forth in this letter, please specify the conduct Mr. Zangrilli is concerned about so we can respond directly to his allegations in the hopes of reaching a mutually satisfactory resolution.

Lastly, in a showing of good faith, although Mr. Zangrilli has always had access to the company's financials through Quickbooks, and although Mr. Zangrilli has continued to process distributions for himself through Quickbooks, Mr. Guariglia has provided Mr. Zangrilli with up-to-date financials for Rowboat, as generated by Quickbooks, and has also requested an additional login for Rowboat's corporate bank account for Mr. Zangrilli, which he will provide on receipt.

Mr. Guariglia reserves all rights.

Sincerely,

/s/ Seth A. Horvath

Seth A. Horvath

cc: Richard H. Tilghman, Nixon Peabody LLP
Michael Sanderson, Blaise & Nitschke P.C.